

the following day. This assumes significance as most of the large and advanced markets are still trading on a T+2 or T+3 basis. More importantly, the market intermediaries are already working on a T+0, or same-day settlement mechanism, which is expected to be introduced by March.

“We had previously said that we would transition optionally to one-hour settlement and then move to instantaneous,” Sebi Chairperson Madhabi Puri Buch had said in November 2023. “Now what the market infrastructure and the brokers together have come back and told us is that the technology path that they need to take to get to instantaneous settlement will be much better if the first step we take is not a one-hour settlement, but T+0. So, there is an in-between step that has undergone a change based on the consultation.”

Market participants are already optimistic about this

TRADING SPEED WON'T BE THE ONLY THING CHANGING; IPO TIMELINES MAY SHORTEN IN THE NEAR FUTURE AS WELL

development, although Stage I implementation is still a month away. “Instantaneous refunds will eradicate the traditional blockage of funds, fostering a more dynamic and responsive trading landscape,” says Kresha Gupta, Founder of Chanakya Opportunities Fund 1, a Sebi-registered alternative investment fund (AIF).

“In the realm of trading, a swift reduction in settlement cycles is on the horizon, unlocking funds almost instantaneously. This accel-

eration in the clearing system for funds, particularly in the refund process from brokers without in-house banks, is set to enhance operational efficiency,” she adds.

Incidentally, it is not just the speed of trading that is all set to undergo a revolutionary change in the near future. The coming years could see the overall timeline of IPOs also getting reduced further—it has already been brought down from the earlier T+6 to T+3, which means that companies can now list their shares just three days after the issue closes.

With an increasing focus on technology—especially enablers based on Aadhaar and UPI—the speed of the Indian stock market is all set to become one of the fastest, if not the fastest, globally in the coming years.

CHOICES APLENTY

The stock market gets its name because stocks are the primary instrument traded on the exchanges. But with the regulatory evolution in India, stock exchanges have transformed into more than just trading platforms for listed companies. Investors can now explore a wide range of instruments, such as derivative contracts for commodities, currencies, and interest rates. Additionally, they can also consider options like debt, REITs, and infrastructure investment trusts (InvITs).

The coming years would see instruments apart from stocks gaining popularity, as policymakers—based on market and industry feedback—tweak the product designs to make them more appealing and investor-friendly.

REITs, for instance, could see more takers, as Sebi has given the go-ahead for small- and medium-sized REITs with a lower ticket



“On average, every year, two to three new REITs will get listed, and the existing REITs will keep adding new assets. REIT is a hybrid story of saying that there is yield and growth”

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